Portfolio Rebalancing Policy & Procedures

Opera

Effective Date: March 1, 2025 | Next Review: March 1, 2026

1. Overview

This policy outlines the procedures for monitoring and rebalancing client portfolios. Rebalancing ensures that client portfolios remain aligned with their stated investment objectives and risk tolerance as defined in the Suitability Guidelines.

2. Monitoring Frequency

All client portfolios must be reviewed against target allocations on the following schedule:

- Managed Portfolio Program accounts: Monthly (automated)
- Advisory accounts (assets > $500,000): Monthly (manual review by advisor)
- Advisory accounts (assets $100,000 - $500,000): Quarterly
- Advisory accounts (assets < $100,000): Semi-annually

The Portfolio Analytics team generates drift reports on the first business day of each month and distributes them to advisors via the internal dashboard.

3. Drift Thresholds and Actions

Drift Level	Threshold	Required Action	Timeline
Minor	5-9%	Note in client file, monitor	Next scheduled review
Moderate	10-14%	Contact client, recommend rebalancing	5 business days
Significant	15-19%	Urgent outreach, compliance notification	2 business days
Critical	>20%	Immediate escalation to Branch Manager	Same day

4. Tax-Efficient Rebalancing

When rebalancing non-registered accounts, advisors must consider tax implications:

- Prefer directing new contributions to underweight asset classes rather than selling overweight positions
- Use dividend and interest income to rebalance where possible
- If selling is necessary, prioritize positions with capital losses to offset gains
- Document the tax rationale in the rebalancing recommendation

For RRSP, TFSA, and RESP accounts, tax considerations do not apply to trades within the account.

5. Documentation Requirements

All rebalancing events must be documented with:

- Date of review and drift report reference number
- Current vs. target allocation (percentage and dollar amounts)
- Recommended trades with rationale
- Client communication log (date, method, outcome)
- Client consent confirmation (written, verbal with follow-up letter, or digital)
- Trade confirmation records

Records must be retained for a minimum of 7 years per regulatory requirements.